

INCOME TAXES

AUDIT PROGRAM #15-20-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
May 13, 2026	3.Planning	Audit Program Risk Alignment	Joana Leal	Test Number TR003.P (SOD) included in the risk table
March 17, 2026	2. Process Definition and Objectives	Process	Joana Leal	Updated Enterprise Risk Management
January 2025	2. Process Definition and Objectives	Process	Joana Leal	Updated Enterprise Risk Management
January 2025	3. Planning	Reference Material	Joana Leal	Updated links
September 2023	Planning	Audit Program Risk Alignment	Joana Zacchur Leal	Changed "Cybersecurity and Data Protection" Defined Risk Area to "Access Management and Data Protection"
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

Overview of the Income Tax process at IBM:

The tax process within IBM and its subsidiaries encompasses activities related to determining the applicability of a tax, use of the correct tax rate, calculation of the tax, and payment or recovery of taxes from the applicable tax jurisdiction which are unique to federal, state and local governments. The income tax group in the US and non-US countries are responsible for the timely filing of the IBM federal or national, state and local governments tax return that is required to be filed under the tax jurisdiction code within the respective countries. The national or federal income tax group is also responsible for the calculation and remittance of income tax installments; the defense of past tax filings; and tracking of changes/updates of tax legislation. They also partner with accounting to support the calculations of the current and deferred tax assets and liabilities accompanied with the related income and expense items, and the reconciliation of those tax accounts, as well as, determining the appropriate tax reserves, and the reporting of the current and deferred tax accounts to CHQ. Tax jurisdiction can include any government or municipality including country, province, region, state, city, or business district.

Tax payments are based on self-reporting with penalties for improper or untimely reporting and underpayments. IBM's reputation depends on accurate and timely payments to tax jurisdictions. The number of jurisdictions, varying tax types, and rates, increase the need for appropriate risk management to preserve IBM's reputation in an environment in which self-reporting is the norm.

Enterprise Risk Management:

<i>IBM Business Risks</i>	<i>Market Risks</i>
AI differentiation, leadership, and monetization	Cybersecurity threats
Market preference for IBM hybrid multi-cloud offerings and as-a-service offerings	Geopolitical tensions and trade policies
Ecosystem and new client adoption of IBM technologies	Government and industry regulations
AI disruption to consulting delivery	Reputational harm
Transformation speed and achievement of productivity objectives	Resiliency for business interruptions
Capital allocation strategy effectiveness	Shifting Economic and financial conditions
Hiring top talent, workforce re-skilling and flexibility	Supply chain vulnerability

Not all of these risks are captured by or relate to every process within IBM. The intent is to provide a general guide on which ERM risks generally relate to this process (risk in blue font).

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PROCESS AND OBJECTIVE (Continued)

<u>Enterprise Risk Management Risk</u>	<u>Application of ERM</u>	<u>Scope Area Covered</u>
Cybersecurity	The actual mechanism for tax payments will vary by country, however, tax management must always ensure the protection of IBM's banking information. Furthermore, all auditors should be aware, throughout the audit, that all IBM financial data is protected until the time it is made a matter of public record. This should be done by encrypting or password protecting files and attachments in communications, especially with third-party organizations.	Tax Returns. Tax Payments, Advanced Payments, General
Geopolitics and widening government and industry regulations	The audit team should ensure that new tax laws and new interpretations of existing tax laws have been implemented by the tax team. Additionally, the audit team should check that there are action plans in place as a result of government audit findings in order to ensure future compliance.	Governmental/External Audits, General
Shifting economic and financial conditions	The audit team must be aware of the local economic cycle or any catastrophic events. In general, economic downturns may cause tax authorities to become more aggressive in their pursuit of tax dollars through audits, which should be reflected in the client's approach to FIN48 reserves.	General
Reputational harm	Tax teams must ensure activities internal and by vendors do not adversely affect IBM's reputation.	Tax Returns. Tax Payments, Withholding Taxes, and General
Preparedness for business interruptions	Tax teams should ensure leadership, process interdependencies, data centers and critical suppliers has a business continuity plan in case of any business interruptions.	Tax Returns. Tax Payments, Withholding Taxes and General

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PROCESS AND OBJECTIVE (Continued)

Tax definitions:

Pretax financial income is a *financial reporting* term. It also is often referred to as *income before taxes*, *income for financial reporting purposes*, or *income for book purposes*. Companies determine pretax financial income according to Generally Accepted Accounting Principles (GAAP). The objective of this measurement is providing useful information to investors and creditors.

Taxable income (income for tax purposes) is a *tax accounting* term. It indicates the amount used to compute income tax payable and income tax provision. Companies determine taxable income according to the Internal Revenue Code (in the US) or the equivalent in each country. Income taxes provide money to support government operations.

Temporary Differences:

The tax consequences of most events recognized in the financial statements for a year are included in determining income taxes currently payable. However, tax laws often differ from the recognition and measurement requirements of financial accounting standards, and differences can arise between (a) the amount of taxable income and pre-tax financial income for a year and (b) the tax bases of assets or liabilities and their reported amounts in the financial statements. *Generally, events can be recognized for accounting purposes if they can be reasonably estimated and expected to occur. However, tax laws are more stringent, often requiring that the exact amount and date of the transaction to be known definitely.*

Timing differences create differences (sometimes accumulating over more than one year) between the tax basis of an asset or liability and its reported amount in the financial statements. Other events, such as business combinations, may also create differences between the tax basis of an asset or liability and its reported amount in the financial statements. These differences should be referred to as temporary differences. There are two major classes of temporary differences:

A. Deferred Tax Liabilities:

A deferred tax liability is recognized for temporary differences that will result in taxable amounts in future years. For example, a temporary difference is created between the reported amount and the tax basis of an installment sale receivable if, for tax purposes, some or all of the gain on the installment sale will be included in the determination of taxable income in future years. Because amounts received upon recovery of that receivable will be taxable, a deferred tax liability income in future years is created. Since the amounts received upon recovery of that receivable will be taxable, a deferred tax liability is recognized in the current year for the related taxes payable in future years.

B. Deferred Tax Assets:

A deferred tax asset is recognized for temporary differences that will result in deductible amounts in future years and for carryforwards. For example, a temporary difference is created between the reported amount and the tax basis of a liability for estimated expenses if, for tax purposes, those estimated expenses are not deductible until a future year. Settlement of that liability will result in tax deductions in future years, and a deferred tax asset is recognized in the current year for the reduction in taxes payable in future years. A valuation allowance is recognized if, based on the weight of the available evidence, it is more likely than not that some portion or all of the deferred tax asset will not be realized.

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PROCESS AND OBJECTIVE (Continued)

Valuation Allowance:

After the deferred tax asset has been measured using the applicable enacted tax rate and provisions of the enacted tax law, a valuation allowance must be assessed by management. A valuation allowance should be performed when, based on the weight of the available evidence, it is more likely than not that some portion or all of the deferred tax asset will not be realized. Realization of a deferred tax asset is dependent on whether there will be sufficient future taxable income within the period during which deductible temporary differences reverses or within the carryback and carryforward periods available under the tax law. Management usually prepare budgets or projects to document potential future taxable income. The valuation allowance must be carefully evaluated for reasonableness.

Permanent Differences:

Permanent items are items of income or expense amounts that are recognized for financial reporting purposes but are statutory disallowed for inclusion in taxable income. Examples include tax exempt interest, the 50% disallowance of meals and entertainment expenses, and often includes goodwill.

Income Tax Provision/Expense:

Technically there are two types of income tax provisions or expense when it comes to taxes. There is the income tax provision that is booked by accounting. This is the income tax provision or book tax expense that is reported in IBM's annual report and quarterly financial disclosures. This specific income tax computation has two components—current tax expense (the amount of income tax payable for the period) and deferred tax expense. **As indicated earlier, deferred tax expense** is the increase in the deferred tax liability balance from the beginning to the end of the accounting period. Then there is the income tax expense that is found on the tax return and used by the tax department to determine what payments should be made to the applicable tax jurisdiction which are unique to federal, state and local governments. Tax credits, such as withholding taxes, are deducted from the income tax provision calculated by the tax department to determine what payments are due to the applicable tax jurisdictions. The tax expense on the entities tax return is the tax expense for tax purposes and the tax expense in the annual report is the tax booked by accounting which in most cases it usually the effective tax rate by the Pre-tax income and the deferred tax expense portion.

Income Tax Payable vs Income tax provision/Expense:

Income tax payable can differ from income tax expense. This can happen when there are temporary differences between the amounts reported for tax purposes and those reported for book purposes. A **temporary difference** is the difference between the tax basis of an asset or liability and its reported (carrying or book) amount in the financial statements, which will result in taxable amounts or deductible amounts in future years. **Taxable amounts** (deferred tax liability) increase taxable income in future years. **Deductible amounts** (deferred tax assets) decrease taxable income in future years. Other tax credits such as withholding foreign tax credits also reduce the income taxes payable amount.

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Tax Department Risk Scorecard:

The global income tax department annual reviews and prepares an income tax risk scorecard, which ranks income tax risks on a number of different factors. The following chart shows the factors that are used in the scorecard:

Country Risk Scorecard - Direct Tax Risk Metrics

Metric	Description
1. FIN48 reserves	The value of country legal reserves for DT
2. Transfer Pricing / PTI %	This metric indicate the impact of the country TP reserves on taxable profits.
3. Total audit exposure / PTI %	This metric measures the impact of the country's TP exposure on taxable profits.
4. Number of Legal entities	Number of Legal entities in the country
5. Environment	A country's overall business climate, including the country's adherence to a formal and open tax administration process

FAS – Financial Accounting Standard

FIN- Financial Accounting Standards Board (FASB) Interpretation Number

TP - Transfer pricing

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PLANNING: Audit Program Risk Alignment

Income Taxes

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Compliance with Tax Regulations	High	Deferred Tax Assets and Liabilities Income Tax Provisions Tax Returns and Payments Withholding Taxes	DT001.P, DT002.P IT001.P TR001.P, TR002.P WT001.P, WT002.P
Tax Returns	High	Tax Returns and Payments	TR001.P
Deferred Tax Assets and Liability	High	Deferred Tax Assets and Liabilities	DT001.P, DT002.P, DT003.P
Withholding Taxes	High	Withholding Taxes	WT001.P, WT002.P
Income Tax Provisions	Medium	Income Tax Provisions	IT001.P
Account Reconciliation	Medium	Balance Sheet Account Reconciliations	BS001.P
Access Management and Data Protection	Medium	Deferred Tax Assets and Liabilities Income Tax Provisions Tax Returns and Payments Withholding Taxes SOD	DT001.P, DT002.P IT001.P TR001.P, TR002.P WT001.P, WT002.P TR003.P
Corporate Tax Reporting	Medium	Corporate Tax Reporting	CT001.P
Tax Payment	Low	Tax Returns and Payments	TR002.P
Tax Reserves (FIN48)	Low	FIN 48 Analysis	FA001.P
Book-to-Return Trueup	Low	Deferred Tax Assets and Liabilities	DT001.P, DT002.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Adjustments posted to taxes payable ledger accounts.	Review the manual adjustments posted to the ledger accounts	Unusual or unauthorized manual entries.	Unauthorized adjustments could result in incorrect financial statements.
Pre-tax Income	Review the pre-tax income extracted from ledger to the figure used in the income tax calculation.	Unusual or unauthorized manual entries.	Inaccurate pre-tax income could impact the income tax calculations.
Account Reconciliations	Review the data from Blackline to identify aged variances, large swings in balances, and accounts with no variances.	Aged variances without adequate actions plans, large changes in balances month to month, and no variances for extend periods of time.	Inaccurate account reconciliations could impact the tax provisions or deferred tax balances.

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PLANNING: Reference Material

General

- IBM Business Conduct Guideline (<https://w3.ibm.com/w3publisher/trust-compliance>)
- IBM Worldwide Corporate Accounting Practices (<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>)
- Corporate Instruction ET 127 - Business Continuity Management (IBM Corporate Documents - ET 127)
- Corporate Instruction - Finance 101 - Control of Disbursements (IBM Corporate Documents - FIN 101)
- Corporate Instruction –Finance 182 - Management Self Assessment of Control (IBM Corporate Documents - FIN 182)
- Standard for Reconciliation of Balance Sheet Accounts (AI CTRL 12-005 - Standard for Reconciliations of Balance Sheet Accounts.docx | Powered by Box)
- Accounting Instructions ([Accounting Policy & Financial Reporting - Accounting Instructions](#))
- GDPR ([GDPR \(General Data Protection Regulation\) - IBM Analytics](#))
- Corporate Policy 130 - IBM Data Privacy Policy (IBM Corporate Documents - CP 130)

Specific Tax Guidance

- Global Tax: (<https://w3.ibm.com/w3publisher/tax-ibm>)
- Corporate Accounting Practice AP36 (<https://w3.ibm.com/w3publisher/ww-income-tax-accounting/accounting-instructions-practices>)
- INT TAX 1 - Interpretation of AP TAX, Accounting for Uncertain Tax Positions (<https://w3.ibm.com/w3publisher/ww-income-tax-accounting/accounting-instructions-practices>)
- W3 Tax Publisher (<https://w3.ibm.com/w3publisher/tax-ibm/>)
- Corporate Income Tax rates (<https://w3.ibm.com/w3publisher/ww-income-tax-accounting/corporate-tax-rates>)
- Worldwide Tax Accounting Information (<https://w3.ibm.com/w3publisher/ww-income-tax-accounting>)
- PwC Tax Summary (<https://taxsummaries.pwc.com/>)
- EY Tax Summary (<http://www.ey.com/GL/en/Services/Tax/Worldwide-Corporate-Tax-Guide---Country-list>)
- Deloitte Tax Summary (<https://dits.deloitte.com>)
- Tax Information Portal (<https://taxportalprod-tipciocicd-prod.tax-portal.dal.app.cirrus.ibm.com/welcome>)

Other Guidance

- Tax-Intercompany Practice Interpretations (transfer pricing)) <https://w3.ibm.com/w3publisher/tax-transfer-pricing/documents-and-information/guidance-and-practice-documents>

And <https://w3.ibm.com/ibm/corporate-documents/fin/fin-194>

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

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PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Fraudulent Financial Reporting Financial Statement Reporting Tax Fraud	1. Account reconciliations 2. Multi-level management review of tax return and inputs	1. To ensure that the financial statements are accurately reflected: - The team should review tax-related balance sheet accounts to ensure that reconciliations and journal entries are performed timely, adequately supported, and approved by accounting management. 2. To ensure that the tax return is calculated accurately per local regulations: - Ensure that multiple levels of management have reviewed the tax returns, including tax credit calculations, income, and expenses, - Review the instructions for calculating pertinent tax credits. Then, review tax credit calculations to ensure they are calculated in accordance with local legislation and the amounts are supported. - Review the tax return to ensure that all inputs are supported with adequate documentation, from independent sources if possible. - Review government audit findings and the subsequent results to ensure that corrective action has been taken to avoid recurring issues and ensure tax compliance. - Review reserves for uncertain tax positions (FIN48) to ensure that the methodology for calculating is reasonable and has been reviewed by CHQ.

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PLANNING: Fraud Template (Continued)

Improper or unauthorized expenditures Tax payments	1. Payment Controls 2. System Access Controls	Determine whether the payments are processed via a tax software, using special manual process, or using the regular treasury process. 1. For payments processed using tax software: - Review access lists to the software to ensure business need exists for each user - Ensure access for processing payments is limited to essential users - Ensure system controls or access levels prevent individuals from changing bank account details from IBM bank accounts and prevent viewing IBM bank account details - Ensure controls are in place to prevent the processing of payments to any vendor aside from the tax authority 2. For payments using a special manual process: - Ensure bank accounts are reconciled to identify inappropriate payments - Ensure that payments are matched with tax return and receipt from tax authority or bank 3. For payments using treasury process - Confirm that tax receives confirmation from Treasury once payment is executed and payment amount is matched to instructions and tax return
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Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Deferred Tax Assets and Liabilities

Objective:

- Did management adequately identify all of the temporary and permanent differences that led to the correct calculation of the ending deferred tax asset and liability balances?
- Were the deferred tax and liability balances reconciled to the general ledger and adequately used to determine the deferred tax portion of the income tax provision?
- Was the change in the year-to-year temporary differences adequately used to determine the local taxable income?
- Was the valuation allowance assessment accurately prepared?

Risk/Exposure:

- Failure to account for and report all temporary or permanent taxable differences could result in incorrect calculation of deferred tax assets and liabilities that will lead to incorrect tax rates, incorrect tax provisions, and tax liability.
- Failure to appropriately account for and report deferred tax assets and liabilities could result in incorrect calculation of income tax provisions, incorrect reporting of IBM federal income tax, and incorrect tax installments/payments.
- Incorrect reporting and filing of statutory (federal or national) income taxes and insufficient tax payments could lead to interest and penalties.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Deferred Tax Assets and Liabilities

Primary Test: Test of Temporary Difference resulting in DTA and DTL (DT001.P)

Objective:

To ensure that required controls are in place to adequately identify and record the temporary tax differences between statutory accounting rules (GAAP) and statutory tax rules.

- Did management adequately identify all of the temporary differences that led to the correct calculation of the ending deferred tax asset and liability balances?
- Were the deferred tax and liability balances reconciled to the general ledger and adequately used to determine the deferred tax portion of the income tax provision?
- Was the change in the year-to-year temporary differences adequately used to determine the local taxable income?

Approach:

Select a sample of items from the deferred tax schedule or use the sample from the temporary differences for completeness. Review and substantiate the source documentation, analysis, and the reconciliation from the general ledger amount to the amount included on the statutory tax return. Use the following attributes to perform this:

- Did the total temporary differences agree to the deferred tax detailed spreadsheet?
- Did the US-GAAP balance sheet temporary difference have adequate supporting documentation and agree to the ledger balances?
- Did the local GAAP balance sheet temporary difference have adequate supporting documentation and agree to the ledger balances?
- Did the Tax balance sheet temporary difference have adequate supporting documentation and agree to the general ledger?
- Was the difference between the US GAAP, local GAAP and tax balance sheet adequately captured in the deferred tax schedule?
- Was the reason for the permanent or temporary difference adequately explained?
- Did the temporary difference agree to the amount entered on the tax return?
- Were the temporary or permanent differences reviewed and approved by the appropriate levels of management?

Review the Gross Deferred Tax True-up schedule by ensuring that the following occurs:

- Was there adequate documentation to support the true-up amount?
- Was the true-up amount appropriately reflected in the gross deferred tax balance?
- Was there an appropriate tax or valid business reason for the tax true-up adjustment?
- Was the adjustment reconciled to Accounting Deferred Tax worksheet, cumulative schedule M, and general ledger? This may not always be possible to test.
- Was the final temporary difference amount including the true-up correctly included on the deferred tax schedule to ensure that the correct year to year change is used?
- Was the final deferred tax amount including the impact from the true-up correctly included on the deferred tax schedule to ensure the correct year to year change is used?

Supporting detailed schedules that listed all of the individual deferred tax assets and liabilities should be in agreement with the current and non-current deferred tax asset/liability and valuation allowance balances in the general ledger

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Deferred Tax Assets and Liabilities

Primary Test: Review of the Permanent Tax Differences (DT002.P)

Objective:

Are all permanent tax differences adequately identified and used to determine the income tax provision and income tax liability on a quarterly basis with the appropriate level of formal management review and approval?

Approach:

Select a sample of the permanent tax differences between the statutory GAAP and tax rules and perform the following:

- Review and substantiate the source documentation, analysis, and the reconciliation from the general ledger amount to the amount included on the statutory tax return. Use the following attributes to perform this:
 - Did the amount of the permanent difference have adequate supporting documentation?
 - Did the amount per the books tie to supporting documentation for the general ledger?
 - Was the reason for the permanent difference adequately explained?
 - Did the amount per taxes reconcile to the amount entered on the tax return?
- Ensure that the differences were reviewed and approved by the appropriate levels of management.
- Verify that the permanent differences were appropriately captured in the true-up analysis.
- Ensure that the permanent differences are not included on the deferred tax schedules but captured in the Estimated Tax Report (ETR).
- Obtain a list of the permanent differences from statutory accountant and verify that all permanent differences were captured.

Determine if the appropriate filings are made by the IBM entity by using the primary test in this area.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Deferred Tax Assets and Liabilities

Primary Test: Review of the Valuation Allowance (DT003.P)

Objective:

Was the valuation allowance adequately assessed by the appropriate levels of management?

Was the valuation allowance only assessed on the deferred tax assets and was that the assessment reasonable based on management underlying assumptions regarding the realizability of the deferred tax assets?

Approach:

- Consider whether management has an objective basis for the analysis of the valuation allowance and determine that the basis for the major assumptions is supported appropriately, especially those that are sensitive or susceptible to change, or inconsistent with historical trends.
- Ensure appropriate management review and approval.
- Review the valuation allowance for expected future taxable income, exclusive of reversing temporary differences and carryforwards.
- Review if management verified that taxable income from tax planning strategies that would be implemented, if necessary, to avoid losing the benefit of a deferred tax asset.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Income Tax Provisions

Objective:

To verify the accuracy of the income tax provision that is book by accounting on a quarterly basis or monthly basis.

Risk/Exposure:

- Errors in the estimated income tax provision would lead to financial inaccuracies.
- Filing incorrect tax returns could result in penalties and interest.
- Material misstatement of financial statements due to fraud often involve the manipulation of the financial reporting by:
 - Recording inappropriate or unauthorized journal entries.
 - Making adjustments to amounts reported in the financial statements that are not reflected in the former journal entry such as consolidations adjustments, such as report combinations, and reclassifications.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Income Tax Provisions

Primary Test: Accuracy of Income Tax Provision (IT001.P)

Objective:

To verify the accuracy of the income tax provision that is booked by accounting on a quarterly basis or monthly basis.

Approach:

- For differences between US GAAP and tax rules, review and substantiate the source documentation, analysis, and calculations. Also, ensure appropriate management review and approval.
- Review and validate all supporting documentation and reconciliations to ensure the correct pre-tax income was used to calculate the income tax provision.
- Understand how the changes in deferred tax assets and deferred tax liabilities from year-to-year impact the provision.
- Review IBM written and unwritten policies and procedures regarding the initiation, recording, and processing of standard and nonstandard journal entry and other adjustments.
- Review the sources of significant debits and credits to the general ledger.
- Review approvals required for such entry and other journal entry.
- Review the controls and design to prevent and detect fictitious entries and unauthorized changes to the journal and general ledger.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Tax Returns and Payments

Objective:

To ensure that all required tax returns and payments are accurate and filed timely to the respective tax jurisdictions.

Risk/Exposure:

- Filing tax returns or payments late may result in penalties and interest.
- Inadequate review of information provided by accounting could result in inaccurate tax returns and the risk of interest and penalties.

INCOME TAXES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Tax Returns and Payments

Primary Test: Tax Preparation and Filing Controls (TR001.P)

Objective:

To ensure that all required tax returns are accurate and filed timely to the respective tax jurisdictions.

Approach:

- Review payment and receipt of tax return confirmations to ensure that tax returns were filed on time with the correct payment amount.
- Review correspondence with tax authority to ensure that if the tax returns are not filed at the due date an extension is requested and granted by the tax authority.
- Review assessment notice from the tax authority to ensure that no penalties are included in the assessment notice for late filing.
- Review the list of all legal entities to ensure that all applicable entities filed tax return and made the appropriate payments.
- Verify that management reviewed supporting documentation provided by accounting and other areas providing information used in preparing the tax return.
- Verify a sample of figures on the tax return to the statutory accounting records or other supporting documentation. Ensure requirements for tax incentives are followed.

INCOME TAXES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Tax Returns and Payments

Primary Test: Tax Payments (TR002.P)

Objective:

To ensure that payments to taxing jurisdictions are timely, accurate, and properly approved.

Approach:

Select a judgmental sample from the following types of activity:

- Review the process used to determine the tax payments. The IBM entity should make estimated tax payments, if applicable, and final tax payments when the final tax return is filed.
 - For automated systems, review the frequency and accuracy of updates made to tax tables for rates, and jurisdictions.
 - For manual systems, review the manual process used to select the correct tax rate. Depending on other testing, it may be appropriate to select a sample of payment vouchers and verify against the related tax assessment.
 - Review estimated payments to ensure the proper estimation method was utilized based on tax rules and review the plan to actual payment analysis.
 - Ensure that payments are approved within delegation authority. Verify that SOD exist between the treasury function and tax.
 - Review all estimate and final payment confirmations to ensure that the proper approvals were obtained, and payment amounts matched the tax filing.
 - Review all refunds to verify that they were properly tracked, and the funds were deposited in a timely manner.

For the sample selected above determine if:

- Payments were for the correct amount?
- Payments were properly approved?
- Payments were timely, and if the jurisdiction allows a discount for early payments, this was considered in payment timing.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Tax Returns and Payments

Primary Test: Separation of Duties (TR003.P)

Objective:

Ensure that a separation of duties (SOD) assessment is performed and approved by the process owner or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

- Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
- Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
- If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
- If financial processes are included in the end-to-end, were KCFRs defined and implemented? Were they tested timely and properly with documented results?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. FIN 48 Analysis

Objective:

To ensure that required controls are in place for management to adequately identify and evaluate Uncertain Tax Positions (UTP) in accordance with FIN 48. FIN 48 requires IBM to initially recognize the effects of a tax position when it is *more likely than not* (i.e., a likelihood of more than 50%) that the position will be sustained upon examination by taxing authorities based on its technical merits. The term *upon examination* also includes resolution of the related appeals or litigation processes, if any.

Risk/Exposure:

Failure to recognize and update the list of uncertain tax positions could lead to improper reserve on the financial statements.

If a tax position does not meet the recognition threshold, the entire tax benefit provided by the position must be reserved for in the financial statements, even if a portion of the benefit claimed is expected to be realized. The recognition threshold shall not reflect expectations for settlement and negotiations with taxing authorities. (Note that appropriate application of the recognition provisions of this Interpretation may result in a recorded liability that is greater than the eventual cash payment to taxing authority.)

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. FIN 48 Analysis

Primary Test: Review of FIN 48 Analysis (FA001.P)

Objective:

To ensure that required controls are in place for management to adequately identify and evaluate Uncertain Tax Positions (UTP) in accordance with FIN 48. FIN 48 requires IBM to initially recognize the effects of a tax position when it is more likely than not (i.e., a likelihood of more than 50%) that the position will be sustained upon examination by taxing authorities based on its technical merits. The term upon examination also includes resolution of the related appeals or litigation processes, if any.

Approach:

Select a sample of the UTP that was evaluated by management for the FIN 48 analysis and perform the following:

- Review and substantiate the source documentation, analysis and reconciliation from the general ledger amount to the amount included on the statutory tax return.
- Ensure that the listing of all uncertain tax positions are updated quarterly and/or annually in accordance with Corporate Guidance (INT TAX 1 - Interpretation of AP TAX, Accounting for Uncertain Tax Positions from the Accounting practices website site). The local/tax teams should add to the list all new uncertain tax positions originating during the quarter and provide an update on all previously reported UTPs, including, but not limited to, positions that reach final resolution.
- Verify that the unit of account used was determined at the lowest level necessary to ensure that significant deductions with varying levels of uncertainty are separated. The determination of an appropriate unit of account can have a significant impact on decisions about both recognition and measurement.
- Review management's evaluation of the effects of the UTP. The company shall initially recognize the effects of a tax position when it is more likely than not (i.e., a likelihood of more than 50%) that the position will be sustained upon examination by taxing authorities based on its technical merits. The term upon examination also includes resolution of the related appeals or litigation processes, if any.
- Ensure that the tax positions meeting the MLTN (more likely than not – a likelihood of more than 50%) recognition threshold are initially and subsequently measured as the largest amount of tax benefit that is greater than 50% likely (MLTN) of being realized upon settlement with a taxing authority. The measurement must be based on the expected outcome in a settlement with the taxing authority (i.e. negotiations with taxing authority should be considered).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Withholding Taxes

Objective:

To ensure that taxes are withheld on foreign payments and receipts.

Risk/Exposure:

- Lack of a process to identify and track foreign payments could result in the failure to withhold taxes.
- Failure to withhold taxes on foreign payments could result in financial loss and damage to IBM's relationship with business partners.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Withholding Taxes

Primary Test: Withholding Taxes Remitted (WT001.P)

Objective:

To ensure that taxes are withheld on foreign payments.

Approach:

- Determine if local tax law requires that taxes be withheld on payments to foreign vendors. The local tax law may state that transactions to vendors in some foreign countries are protected from taxation by various tax treaties.
- Review the process for identifying and tracking payments to foreign vendors. Are these payments identified by a running a query in the accounts payable system or do these transactions flow to a certain account on the ledger?
- Review the process for remitting withholding taxes to the government. Determine whether, based on local guidelines, withholding taxes are being remitted in a timely manner. In many countries, a withholding tax return is required to be submitted. Validate the accuracy of a sample of returns if applicable.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Withholding Taxes

Primary Test: Withholding Tax Suffered (WT002.P)

Objective:

To ensure that taxes are withheld on foreign payments and receipts.

Approach:

- Determine if local tax law requires that taxes be withheld on payments from foreign customers. The local tax law may state that transactions to customers in some foreign countries are protected from taxation by various tax treaties.
- Review the process for identifying and tracking payments from foreign customers. Are these payments identified by a running a query in the customer fulfillment system or do these transactions flow to a certain account on the ledger?
- Review the process for claiming the withholding tax paid on IBM's behalf to the foreign country's government. Determine whether, based on local guidelines, withholding taxes are being claimed or written off in a timely manner. In many countries, withholding tax information will be contained within the income tax filings.

INCOME TAXES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Balance Sheet Account Reconciliations

Objective:

Are all balance sheet accounts reconciled on a monthly or quarterly basis with valid supporting documentation and the appropriate management's review and approval?

Risk/Exposure:

Reconciliations performed correctly and on time are the primary controls to identify any differences between the general ledger and the systems which feed it. Failure to perform reconciliations consistently indicates a lack of management focus on essential financial controls and could lead to a misstatement of the company's financial position.

INCOME TAXES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Balance Sheet Account Reconciliations

Primary Test: Account Reconciliation Performance (BS001.P)

Objective:

To ensure that account reconciliations are performed on a regular basis, and that reconciliation activity is supported by a management system which ensures control and performance of reconciliations for all accounts.

Approach:

- Request the ledger accounts that relate to income taxes.
- Ensure that the account groups GLUI (division, major, minor or division, major, minor, ledger reporting unit (LERU)) or IERP countries were valid and the description of the reconciliations were current.
- Ensure that each ledger account has been assigned to an owner with responsibility for reconciling the account as appropriate. A formal reconciliation is not required when the account balance is zero (major/minor/subminor/leru) and there is no current period activity. However, these accounts require due diligence by the accountant and the owning manager to ensure the validity of the balance (e.g. sub-ledger validation, verifying all source feeders were properly posted, etc.) and evidence of management review must exist.
- Ensure that selected reconciliations were supported with sufficient back up documentation and proper approvals. In the selected samples, make sure the entries or the activities recorded in the reconciliations were classified in the appropriate categories (content/variance aging), tracked and aged until they were cleared. When the content items exceeded the expected clearing date, they should be reclassified to aging variance and action should be taken when applicable. For any aging variance items, action plans should be put in place and tracked to make sure they will be cleared and prioritized.
- If there were any items in the reconciliations that could not be supported or identified they should be called out as unreconciled items and should be reported properly and timely to the management. If there were any items that were written off, review the justification and management approvals.
- Document evidence of compliance testing and/or a quarterly review with accounting management's approval to validate the reconciliations are performed in accordance with the accounting guidelines.

Reference:

Standard for Reconciliation of Balance Sheet Accounts

<https://w3.ibm.com/w3publisher/worldwide-accounting-controls/accounting-instructions>

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Corporate Tax Reporting

Objective:

To ensure that all required CHQ tax reporting is accurate and submitted on a timely basis.

Risk/Exposure:

- Untimely submission of CHQ Tax reporting could result in incomplete global tax position or ability to tax strategies.
- Inaccurate CHQ Tax reporting could result in misstating financial statements.

INCOME TAXES

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Corporate Tax Reporting

Primary Test: Review of Corporate Tax Reporting (CT001.P)

Objective:

To ensure that all required CHQ tax reporting is accurate and submitted on a timely basis.

Approach:

- Ensure AER webform, T and M Report submissions are done on a timely basis.
- Ensure that clarity is provided on the AER webform, T and M Reports with respect to amounts and descriptions disclosed.
- Ensure that the US GAAP profit disclosed in the first AER webform, T and M Reports submitted is not materially different to the ones submitted subsequently. Verify that all subsequent differences are identified and explained to CHQ tax department.
- Ensure that all timing differences are identified in the first AER webform submission and material differences are identified and explained to CHQ Tax department.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. External Audits

Objective:

To ensure management has adequately address the external audit findings to avoid interest and penalties exposure.

Risk/Exposure:

- Failure to adequately address the external audit findings could result in additional penalties and interest paid by IBM.
- Inaccurate filings could impact the amount of penalties and interest paid to the government.
- Failure to implement process improvements to address external audit findings could result in additional penalties and interest paid by IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 8. External Audits

Primary Test: External Audit Review (EA001.P)

Objective:

To ensure that management has adequately accounted for the external audit findings and adequately address the external audit findings to avoid reoccurrence.

Approach:

- Ensure management has a process to track external audit requests, submitted documentation, and closure.
- Ensure management has adequately accounted for the external audit findings.
- Ensure management has adequately addressed the external audit findings to avoid reoccurrence.